

Eicher Motors Ltd

EICHERMOT

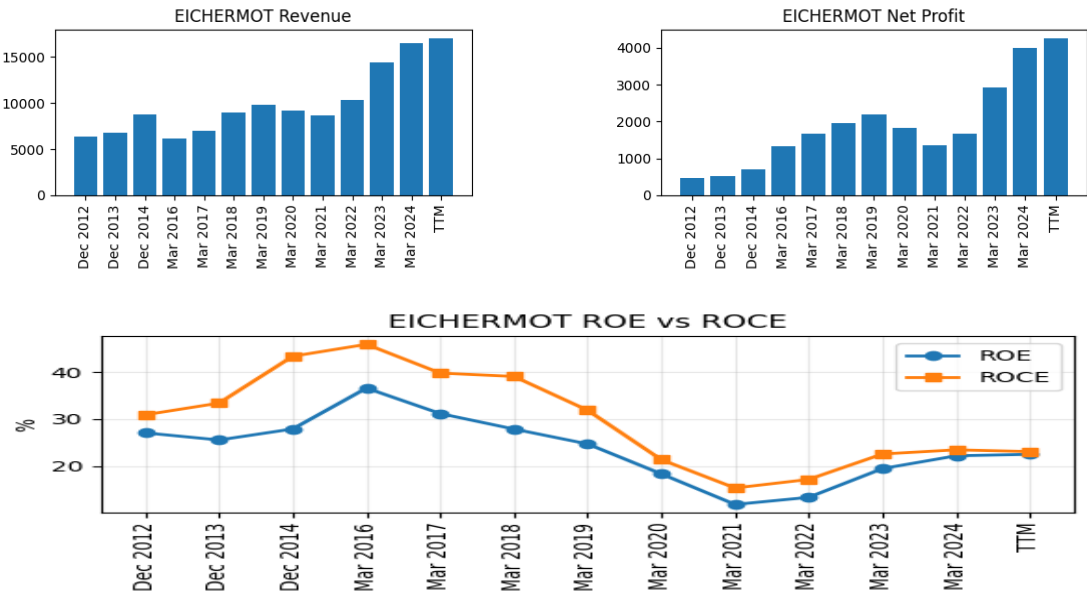
Key Financial Metrics

ROE 22.49%	ROCE 23.07%	Debt / Equity 0.02
Revenue CAGR 8.25%	FCF Conversion 93.08%	Quality Score 54.96

Company Profile

Company	Eicher Motors Ltd
Sector	Consumer Discretionary
Industry	Two Wheelers
Market Cap (■ Cr)	222,391.83
P/E Ratio	15.62
P/B Ratio	13.61
Dividend Yield	4.41%

Financial Performance



AI Investment Summary

Eicher Motors Ltd demonstrates average financial performance with a few areas requiring monitoring. It currently has healthy profitability, strong capital efficiency, steady revenue growth, high quality cash-flow quality and conservative leverage. The overall financial quality score is 55.0/100. Key strengths include: Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency.; Profits are compounding faster than revenue, indicating improving operating leverage and scalability.; Strong free cash flow generation over 5 years signals healthy business fundamentals.. Key risks include: No major financial weakness was identified by the rule engine, although ongoing monitoring remains important.. Investment recommendation: Hold. Overall, the company appears to be financially average and requires monitoring.

Pros & Cons

Pros	Cons
• Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency. • Profits are compounding faster than revenue, indicating improving operating leverage and scalability. • Strong free cash flow generation over 5 years signals healthy business fundamentals. • Operating profit margin above 25% indicates strong pricing power and cost discipline. • Very high interest coverage ratio reflects negligible financial stress from debt servicing.	• No major financial weakness was identified by the rule engine, although ongoing monitoring remains important.

Investment Recommendation

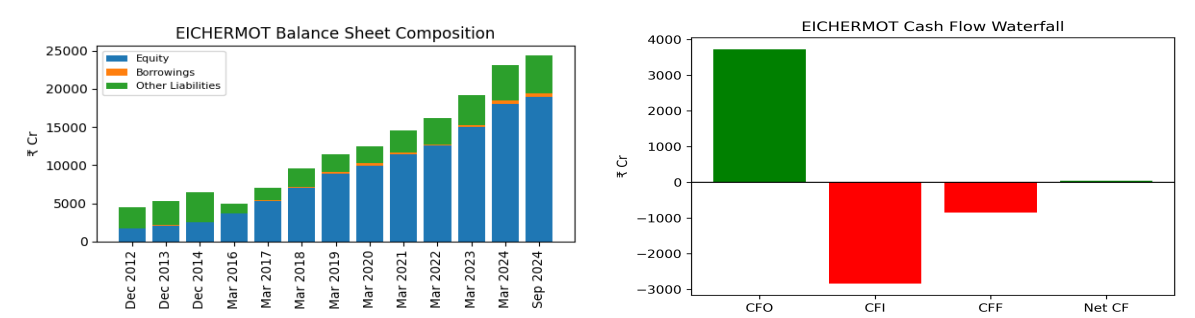
Recommendation	HOLD
Risk Level	MODERATE
Confidence	MEDIUM

Recommendation Reason:

The recommendation is based on an adjusted financial score of 57.0/100, supported by 5 identified strengths, 1 identified risks, and cash-flow quality rated as High Quality.

Adjusted Score: 57.0

Balance Sheet & Cash Flow



Financial Health

Profitability	Strong
Growth	Moderate
Cash Flow	Moderate
Leverage	Strong
Valuation	Cheap

Capital Allocation

Reinvestor